

**AN EMPIRICAL ANALYSIS ON
THE MANAGEMENT OF NON PERFORMING ASSETS IN
THE COMMERCIAL BANKS IN ODISHA: PROBLEMS AND LEGAL
RESOLUTIONS**

Research Synopsis Submitted before the Subject Research Committee (Law),
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01. Title of the Proposed Doctoral Research: AN EMPIRICAL ANALYSIS ON THE MANAGEMENT OF NON PERFORMING ASSETS IN THE COMMERCIAL BANKS IN ODISHA: PROBLEMS AND LEGAL RESOLUTIONS

02. Introduction.

A stable and sound banking system is required for a healthy growth of an economy. But ballooning non-performing assets problem is the biggest impediment that chokes Indian lenders' effective operations¹.

The banking sector in India is in a crisis with the increase in burden of bad loans provisioning and the decline in profitability of commercial sector banks particularly Public sector banks. Bad loans are a drag on bank resources for two reasons – one, they don't earn any interest income and second, they lock up precious resources in the form of NPAs. Therefore, recovery of bad loans has assumed urgency.

Prior to 1993 the bank and financial institution were approaching the Civil Court for a judgment /decree for recovery of their N.P.A..It is need less to mention here that to obtain a decree from the Civil Court it is time consuming and expensive. In order to reduce the NPA level, the assets need to be recovered timely and restructured properly.

The Committee on Financial Systems, headed by Shri M Narasimhan,² had considered the setting up of the "special tribunals" with special powers for adjudication and speedy recovery of such matters as critical to the successful implementation of the financial sector reforms. An urgent need was, therefore, felt to work out a suitable mechanism through which the dues to the banks and financial institutions could be realized without delay.

In 1981, a committee under the Chairmanship of Shri T Tiwari³ had examined the legal and other difficulties faced by banks and financial institutions and suggested remedial measures including changes in law. The Tiwari Committee had also suggested setting up of special tribunals for recovery of dues of the banks and financial institutions by following a

¹<https://economictimes.indiatimes.com/markets/stocks/news/indias-big-bad-loan-problem-banks-with-highest-npas/indias-big-bad-loan-problem-banks-with-highest-npas-/slideshow/58928031.cms>

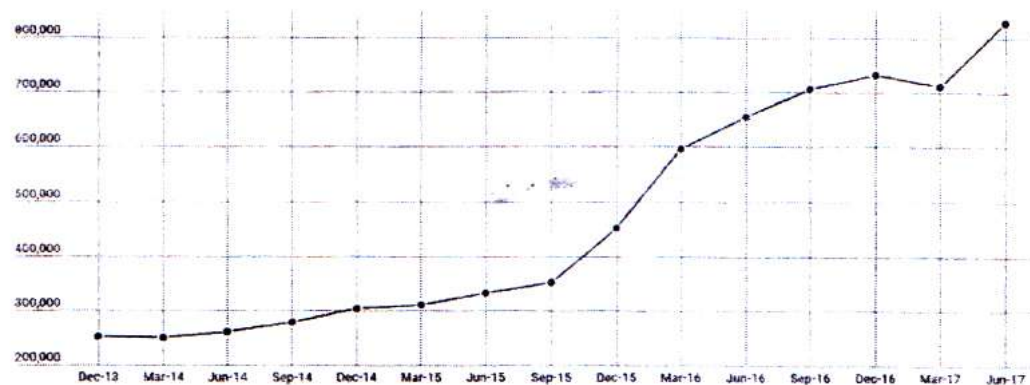
² The Committee on Financial Systems, Chaired by Shri M Narasimhan,1991; The Committee on Banking Sector Reforms, Chaired by Shri M Narasimhan,1998; The Monetary and Credit Policy Statement, April,1998 and 2001.

³ The Tiwari Committee Report, 1981 as regard framing of the Recovery of Debts due to Banks and Financial Institutions Act, 1993 Act

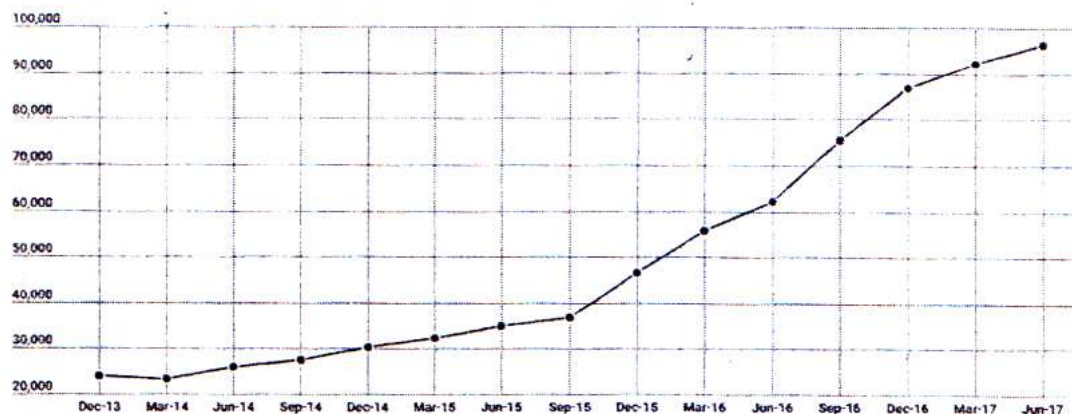
summary procedure. Consequently, the Recovery of Debts Due to Banks and Financial Institutions Act 1993 in short DRT Act was passed

Non-performing assets (NPAs) of Banks in India: Total bad loans of India's 38 listed commercial banks have crossed Rs 8 lakh crore at the end of June quarter. This chunk now accounts for nearly 11 percent of the total loans given by the banking industry.

Gross NPA in PSU Banks in Crore (India-2017)



Gross NPA in Private Banks in Crore (India-2017)



Gross NPAs of 17 private banks soared by 161 percent to Rs 96,201 crore in June 2017 quarter from Rs 36,878 crore in September 2015. The bad loan scenario of private banks as compared to their counterparts in public sector is much better.

Keeping in line with the international trends on helping financial institutions recover their bad debts quickly and efficiently, the Government of India has constituted thirty three Debts Recovery Tribunals and five Debts Recovery Appellate Tribunals across the country.

The Debts Recovery Tribunal (DRT) enforces provisions of the Recovery of Debts Due to Banks and Financial Institutions (RDDBFI) Act, 1993, thereafter, Securitization and Reconstruction of Financial Assets and Enforcement of Security Interests (SARFAESI) Act, 2002. Came in to force for early realization of debts due to banks and financial Institutions. The Debts Recovery Tribunal now deal with two different Acts, namely the Recovery of Debts Due to Banks and Financial Institutions Act 1993, as well as the Securitization and Reconstruction of Financial Assets and Enforcement of Security Interests Act, 2002. (SARFAESI) Debt Recovery Tribunals have been authorized to decide on cases of NPAs of ₹10 lakhs and more. The systems seemed to be more effective for recovery of loans by immediate judgment on the cases referred to.

Non-performing assets (NPAs) of Banks in Odisha: Non-performing assets (NPAs) of banks in Odisha has climbed to 7.69 per cent by the end of March 2014 mainly due to high slippages on agriculture and education loans. The non-performing assets (NPAs) of banks in Odisha stood at 11.95 per cent as on December 31, 2016 with maximum slippages noted in the loans advanced to the agriculture and education sectors. Though bad loans crisis is a nationwide phenomenon, the gross NPAs of banks operating in Odisha at 11.95 per cent is higher than the pan-India average of 9.3 per cent (as on December 2016) of both public and private sector banks.

In Odisha, out of the total outstanding advances of Rs 1,05,109.84 crore to priority and non-priority sectors, the NPA stood at Rs 12,557.10 crore for the quarter ended December 31, 2016. A loan or advance for which the principal or interest payment remains overdue for 90 days or more is classified an NPA. The NPA rate in the state is the highest in case of agriculture term loans, at 17.83 per cent. For the overall agriculture sector, the rate stood at a staggering 13.48 per cent.

The rate for MSMEs is 12.87 per cent, and 14.45 per cent and 7.28 per cent for education and housing loans respectively. For advances made to priority sectors the rate is 13.32 per cent compared to 9.62 per cent in non-priority sectors. NPAs of public sector banks, private sector banks, regional rural banks (RRBs) and co-operative banks stood at 14.84 per cent, 0.75 per cent, 22 per cent and 7.03 per cent respectively.

Banks having NPA percentage above the state average are Andhra Bank, Bank of Baroda, Central Bank of India, Indian Overseas Bank, Oriental Bank of Commerce, Punjab National

Bank, the country's largest lender State Bank of India, UCO Bank and the regional rural banks -- Odisha Gramya Bank and Utkal Grameen Bank. "The banks are facing problems in recycling funds owing to non-repayment of loans, mounting overdues and rising NPA per cent. Banks and government departments have to make joint efforts with specific strategies to improve recovery performance for better cycling of funds," said SLBC in its report for the quarter ending December.

For the Prime Minister's Rozgar Yojana (PMRY), Prime Minister's Employment Generation Programme (PMEGP), Swarna Jayanti Shahari Rozgar Yojana (SJSRY), Self Help Groups (SHG), Weaver Credit Card (WCC), the NPA and overdue percentages are very high, and can only be rated as unsatisfactory, stated the quarterly report prepared by State Level Bankers' Committee (SLBC), Odisha.

NPA rates for PMRY and PMEGP, SHG, NULM (National Urban Livelihoods Mission) and WCC are 38.08 per cent, 25.44 per cent, 21.07 per cent and 18.71 per cent respectively. **The overdue percentage of banks in Odisha stood at 37.49 per cent as on December end, 2016. Any amount due to the bank under any credit facility is 'overdue' if it is not paid on the due date fixed by the bank.**

03. Review of Literature:

Kumar (2013)⁴ in his study on A Comparative study of NPA of Old Private Sector Banks and Foreign Banks has said that Non-performing Assets (NPAs) have become a nuisance and headache for the Indian banking sector for the past several years. One of the major issues challenging the performance of commercial banks in the late 90s adversely affecting was the accumulation of huge non-performing assets (NPAs).

Ambuj Gupta⁵ deliberates on the various issues, perspectives and future directions of non-performing assets (NPAs) in Indian Banks. The current banking environment shows that one of the major constraints of the competitive efficiency of banks is the tendency to accumulate poor quality of assets because NPAs act as a drag on profitability and inhibits the lending decisions of the banks. The essential component of a sound NPA management system is quick identification of non-performing advances, their containment at minimum levels and

⁴ Kumar, P.T., "A Comparative study of NPA of Old Private Sector Banks and Foreign Banks", 2(7) RESEARCH JOURNAL OF MANAGEMENT SCIENCES, 38-40, 2013; Singh, J., "Recovery of NPAs in Indian commercial banks.", 2 (3) INTERNATIONAL JOURNAL OF TRANSFORMATION IN BUSINESS, 2013.

⁵ AMBUJ GUPTA, NON-PERFORMING ASSETS (NPAS) IN INDIAN BANKS, LAP Lambert Acad. Publ., 2010 - 260 pages

ensuring that their impingement on the financials is minimum. The approach to NPA management has to be multi-pronged, calling for different strategies at different stages a credit facility passes through. The study also discusses the global scenario of NPAs along with specific country analysis, the regulatory framework adopted in India along with a strategic course of action to stop conversion of loans and advances into NPAs, recovery of NPAs and converting NPAs into performing advances.

T. V. Gopalakrishnan⁶, deals with the problem of Non-Performing Advances (NPAs) in public sector banks and its impact on the banks' books, banking and financial system of the economy. Recognizing the inevitable and festering nature of the problem, the author has come out, inter alia, with a statistical model as an innovative, simple and practical solution to contain NPA formation to ensure a strong balance sheet for banks and improved image of the borrowers. The author claims that the solution will prove to be a win-win situation for all stakeholders of banks including the economy, and its constituents Government, shareholders, depositors, borrowers, employees and others. Salient Features Changes brought about in banks under Banking Sector Reforms. (i) Emergence of NPAs in banks. (ii) Problem of NPAs: Its causes and effects. (iii) Performance of Public sector banks on management of NPAs. (iv) Impact of NPAs on the economy, banks (v) balance sheets and profit and loss accounts. (vi) Suggestions to contain NPAs from the angles of banks, borrowers, Government, Regulator and others. (vii) A Statistical Model developed to contain formation of NPAs, strengthen banks' balance sheets and develop an emotional rapport between banks and borrowers.

Singh, V. R.,⁷ said that NonPerforming Assets have always created a big problem for the banks in India and the NPAs level of our banks is still high as compared to the foreign banks.

Das, S.,⁸ has tried to analyse the parameters that are actually the reasons of NPAs and those are, wilful defaults, market failure, poor follow-up and supervision, poor Legal framework, non-cooperation from banks, lack of entrepreneurial skills and diversion of funds.

Chaudhary K. and Sharma M.⁹ in their research stated that An efficient management information system should be developed. The bank staff involved in sanctioning the

⁶ T. V. GOPALAKRISHNAN, MANAGEMENT OF NON-PERFORMING ADVANCES: A STUDY WITH REFERENCE TO PUBLIC SECTOR BANKS, Northern Book Centre, 2004 ,195 pages

⁷ V. R. Singh, "A Study of Non-Performing Assets of Commercial Banks and it's recovery in India", 4 ANNUAL RESEARCH JOURNAL OF SYMBIOSIS CENTRE FOR MANAGEMENT STUDIES, (2016) pp.110-125.

⁸ S. Das, and A. Dutta , "A Study on NPA of Public Sector Banks in India", 16(11) IOSR JOURNAL OF BUSINESS AND MANAGEMENT (IOSR-JBM), (2014), pp. 75-83.

advances should be trained about the proper documentation and charge of securities and motivated to take measures in preventing advances turning into NPA.

Rajeev, M. et al.,¹⁰ examines the Indian trends of NPA's from various dimensions and explains how the recognition of problem continuous observing can reduce it to the greater extent. They also discuss the functions of the joint liability groups or self help groups in enhancing the loan recovery rate.

Kaur, H. et al.,¹¹ attempt was made in the paper to know about NPA, the magnitude and reasons for high NPA's, the factors responsible for the contribution towards NPA's and their impact on the banking systems.

Patnaik, B. C. M., Satpathy, I.¹² analyze the causes of NPAs in working capital loans of Urban Co-operative banks.

Pradhan, T. K.¹³ points out how the reform measures helped in lowering the NPA in public sector banks, the data has been observed by percentage method.

Satpathy, I. et al., (2010) have attempted to examine the causes of NPA's in home loans of commercial banks. For this borrowers of the loans were surveyed via questionnaires and final suggestions given to overcome the issue. In 2011, Satpathy, I. et al., have tried to analyze the quantitative trend and pattern in growth of NPA with reference to the various education loan schemes, in Odisha. An effort was made to find out the cause, by a questionnaire survey of the different types of defaulters, those are students of different colleges, and suggestions to overcome the problem were also given by the author.

04 Issues and Research Questions

- (i) The first issue relates to the defining of typology of Non Performing Assets and its legal status have not been studied properly
- (ii) The Causative factors of Non Performing Assets in Commercial Banks of Odisha have been studied from secondary sources of Data.

⁹ Chaudhary, K. & Sharma, M., "Performance of Indian Public Sector Banks and Private Sector Banks: A Comparative Study", 2(3) INTERNATIONAL JOURNAL OF INNOVATION, MANAGEMENT AND TECHNOLOGY, (2011).

¹⁰ M. Rajeev and H. P. Mahesh, (2010) Banking Sector Reforms and NPA: A study of Indian Commercial Banks (Working Paper 252).
<http://www.isec.ac.in/WP%20252%20-%20Meenakshi%20Rajeev%20and%20H%20P%20Mahesh.pdf>

¹¹ A. Kaur, (2012) "An empirical study on the performance evaluation of Public Sector Banks in India", International Journal of Marketing, Financial services and Management Research, 1(11), November, pp. 117-131.

¹² C. M Patnaik, I. Satpathy and A. K. Mohapatra "Demystifying NPA's on Education Loan: A Survey (With Special Reference To Selected Urban, Rural Areas And Bank Officials of Odisha)", Retrieved from 1(4) JBFSIR (July, 2011)

¹³ T. K. Pradhan, "Management of NPA in the Commercial Banks in Odisha: An Empirical Analysis", 2 (9) INTERNATIONAL JOURNAL OF SCIENTIFIC AND RESEARCH PUBLICATIONS, (2012) pp. 01-05.

- (iii) The Governance issue with respect to Non Performing Assets in Commercial Banks of Odisha have been sporadically studied across sectors.
- (iv) Analysis of Non Performing Assets from the perspective of Global slowdown and State Policy paralysis and its impact on Commercial Banks have been studied in limited area.
- (v) The effectiveness of Law in minimizing Non Performing Assets in Commercial Banks of Odisha has not been considered by any researcher.
- (vi) The functioning of DRT and DRAT in dispensing NPA cases with special reference to Commercial Banks of Odisha have not been studied.

05 Objectives of the Study

The present doctoral research *inter alia* aims to study the following

- (a) To study find out the causative factors and quantum of Non Performing Assets of the Commercial Banks of Odisha. ✓
- (b) To study the procedure of Credit disbursement by the Commercial Banks of Odisha.
- (c) To Study the Style of credit risk management of the Commercial Banks of Odisha.
- (d) To Study the functioning style of the DRT and DRAT in dispensing and resolving the disputes relating to Non Performing Assets.
- (e) To study the legal framework that regulated Non Performing Assets and point out its statutory defects.
- (f) To Study the Judicial trend relating to the issues relevant to resolution of Non Performing Assets.

06. Projected Hypothesis

H1 Factors like Global, regional or National Financial crisis, Natural Disaster, Anti Dumping, Unfair competitions, Lack of Government Policy Clearance, Bad Governance, Misinformation, Political Influence and Internal corrupt practice are the major contributing factors of Non Performance Assets in Commercial Banks of Odisha.

H2. Improving credit risk management through appropriate legal mechanism will reduce the risk of Non Performing Assets of Commercial Banks in Odisha.

H03. Conduct of necessary Sensitivity Analysis and Contingency planning with adequate Legal safeguards are likely to reduce the risk from external factors.

H4 Structured Early Warning Mechanism of delinquencies through comprehensive MIS(Management Information System) can play an important role to Strengthen Credit Monitoring System to reduce the risk of Non Performance Assets.

H5. Uniform and structured Enforcement of legal accountability across all level of management is likely to reduce quantum of Non Performance Assets in Commercial Banks.

H6 An uniform and well defined Corporate Governance model for all Commercial Banks will minimize the quantum of Non Performance Assets.

H7. Appropriate model of Infrastructure with Trained Judicial Officers and Support agencies will reduce the pendency level at DRT and DRAT.

H8. Elimination of Legal defects and modifications in Judicial attitude towards Non Performing Assets can minimize the frequency of Non Performing Assets in the Commercial Banks of Odisha.

07 Methodology

The present doctoral research prefers adopt the following methods of research

A. Research Design: The researcher primarily depends on both quantitative and Qualitative method of research to study the Policy, organizational, behavioral and legal aspects of the Non Performing Assets of the Commercial Banks of Odisha

B. Sample Design: For the purpose of study 15 Commercial Banks of Odisha (05 Nationalized Bank + Private Commercial Banks + 05 Cooperative Banks=15) will be considered.

Further, the primary data will also be collected from the Bank personnels and the Customers through a structured survey Questionnaire (100 Bank Employees and 100 Customers who have taken loan from the Commercial Banks=200)

C. Data Collection: The researcher aims to collect data through both Primary and Secondary Sources. The primary data will be collected through a structured questionnaire and the secondary data will be collected from Government and Corporate Reports, Law Commission and Reserve Bank Reports, Bank Annual Reports, Information through RTI, Books , Law Journals, Judicial decisions from Law Reporters, Legal commentaries etc etc.

D. Data Processing: Both qualitative and quantitative data will be processed through both parametric and non parametric statistical tools and will be interpreted as per the requirement of the research and to validate the projected Hypothesis.

08.Tentative Derivation of Chapters

The proposed research will be carried out with following breakup of Chapters

- ✓ 01. CHAPTER- I- “Introduction” will introduce the title, subject area, and the rationality of the research
- ✓ 02. CHAPTER- II – Review of Literature will critically examine relevant researches on the subject, methods and its findings. From the review important research issues and problems will be identified basing upon which projected hypothesis will be constructed.
- ✓ 03. CHAPTER- III ‘Method of Study’ deals with the purpose, significance, objective hypothesis and measure of the study. Further. sample structure, data sources and data process procedure will also be elucidated in the same chapter.

06. CHAPTER- VI 'Findings of the Study, Discussion and Validation of Hypothesis' will critically examine the findings and with the help of legal provisions and judicial decisions will validate the projected hypothesis.

07. CHAPTER- VII ' Suggestions and conclusion' will briefly indicate the implications and future directions of the research

09 Horizon of the Research

The horizon of the research will be confined to the Commercial Banks operating within the state of Odisha. Further, relevant Indian Legislations and judicial decisions will also be considered from the Supreme Court of India, State High Courts and Tribunals.

10, Duration of the Research:

The Thesis will be submitted before the University after Two years from the date of Registration and not beyond Five years.

11Subject : Law

12. University :North Orissa University,

Signature of the Guide

Signature of the scholar